

25STCV32517 25STCV32517

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-03

Motion: CROSS-DEFENDANT AHEAD GROUP LLC'S DEMURRER TO INCITE'S FIRST AMENDED CROSS-COMPLAINT

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Case Number: 25STCV32517 Hearing Date: September 3, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS

ANGELES - CENTRAL DISTRICT

GOLDEN RIGHTS LLC, a Delaware

Limited Liability Company; TAKASHI CHENG, an individual,

Plaintiffs,

vs.

INCITE INC., a California

Corporation; JENNER

FURST, an individual; and DOES

1 through 50,

inclusive,

Defendants.

INCITE, INC., a California

Corporation,

Plaintiffs,

VS.

AHEAD GROUP, a Delaware limited liability company; TAKASHI CHENG, an individual; and GOLDEN RIGHTS, LLC, a Delaware limited liability company,

Defendants.

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CASE NO: 25STCV32517

[TENTATIVE] ORDER RE: CROSS-DEFENDANT

AHEAD GROUP LLC'S DEMURRER TO INCITE'S FIRST AMENDED CROSS-COMPLAINT

Dept. 731

September 3, 2026

8:30 a.m.

Matter No. 3

Moving Party: Cross-Defendant, Ahead Group LLC

Opposing Party: Cross-Complainant/Defendant, Incite, Inc.

Notice: OK

Background Facts

Pleadings

This action involves cross allegations of fraud, broken funding promises, and contract breaches after an \$8million film-financing deal collapsed, leaving both sides claiming the other lied about project status, financial ability, and compliance with the loan agreements.

i. Plaintiffs'

Second Amended Complaint ("SAC")

Golden Rights LLC and Takashi Cheng

sue Incite Inc. and its CEO, Jenner Furst, pursuant to a July 2, 2026, SAC asserting claims for fraud and deceit, negligent misrepresentation, breach of written contract, unfair business practices under Business & Professions Code section 17200, accounting, and declaratory relief. Plaintiffs allege Incite induced them to provide financing of \$8 million by misrepresenting the status, completion, profitability, and distribution readiness of several media projects—including: Thank You, Dr. Fauci; Queen of the Hill; a Red Hot Chili Peppers documentary; and a Bruce Willis project. Plaintiffs allege Incite breached multiple obligations under various written instruments, including failing to meet conditions, failing to reimburse fees, failing to set up a required segregated account, and failing to provide accurate project information. Plaintiffs seek damages exceeding several million dollars, restitution, disgorgement, attorneys' fees, and declarations regarding the parties' rights under the parties' loan agreements.

ii. Plaintiff's

First Amended Cross-Complaint ("FACC")

In turn, Incite Inc., as Cross-Complainant, sues Ahead Group, Takashi "Bobby" Cheng, and Golden Rights LLC pursuant to a May 4, 2026, FACC, alleging causes of action for fraud and deceit, negligent misrepresentation, breach of written contract, and unfair business practices under Business & Professions Code section 17200. Incite claims Cross-Defendants falsely represented that they possessed sufficient funds to complete the loan, failed to fund all required amounts, and engaged in deceptive practices during

negotiations and closing. Incite seeks damages exceeding \$20 million, punitive damages, attorneys' fees, costs, and other relief.

Motions Before the Court

Now before the Court are Ahead

Group's opposed (1) demurrer to the first, second, and fourth causes of action, and (2) motion to strike the prayer for punitive damages from the FACC.

Demurrer

Meet and Confer

The moving papers establish a sufficient meet and confer process preceded the filing of Defendant's demurrer. (Demurrer, Fierro Decl., ¶¶ 5-8, Ex. B; see Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

b. Legal
Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216,

1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) The face of the complaint includes exhibits attached to the complaint. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence. (*Holland v. Morse Diesel Intern., Inc.* (2001) 86 Cal.App.4th 1443, 1447, superseded by statute on other grounds as stated in *White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 521.)

Discussion

i. Demurrer,

First and Second Causes of Action, Fraud Claims

After review, the Court finds in favor of Ahead Group.

A general demurrer for sufficiency may be sustained against duplicative claims. (*Palm Springs Villas II Homeowners Assn., Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290 (“*Palm Springs*”) [“a cause of action for breach of governing documents [that] appear[ed] to be duplicative of [a] cause of action for breach of fiduciary duty” is “recognized ... as a basis for sustaining a demurrer”]; *Rodrigues v. Campbell Industries* (1978) 87 Cal.App.3d 494, 501 [finding demurrer was properly sustained without leave to amend as to cause of action that contained allegations of other causes and “thus add[ed] nothing to the complaint by way of fact or theory of recovery”]; see also *Award Metals, Inc. v. Superior Court* (1991) 228 Cal.App.3d 1128, 1135, *opn. mod. Apr. 10, 1991* [demurrer should have been sustained as to duplicative causes of action].)

In *Palm Springs*, the court of appeal found that “the cause of action [therein pleaded] for breach of governing documents appear[ed] to be duplicative of the cause of action for

breach of fiduciary duty,” supporting a finding that “the trial court properly sustained [a] demurrer” to the breach of governing documents claim, particularly where “[t]he [the pleading party] d[id] not address [the demurring party’s] argument or explain how its document claim differ[ed] from the fiduciary breach claim.” (Palm Springs, *supra*, 248 Cal.App.4th at p. 290.) The specific factual allegations at issue in Palm Springs were a “cause of action for breach of fiduciary duty [that] alleged that [the demurring party] had breached her duties to comply with the governing documents and to avoid causing harm to the [pleading party] by, among other things, refusing to submit bids or contracts to the Board, ‘unilaterally terminating’ PPM, and signing the contract with Desert Protection,” while, in turn, the “[t]he breach of governing documents cause of action identified CC&R and bylaw provisions and identified actions taken by [the demurring party] in breach of these provisions, including the termination of PPM and entering into the Desert Protection contract.” (Id. at p. 277.)

Here, with language even more generalized than the language in Palm Springs—there sufficient grounds to find duplication in pleading—the FACC’s fraud claims and its breach of contract claim almost identically relate to Cross-Defendants’ alleged obligations and failure to fund Incite’s projects, resulting in damages in an amount not less than \$20 million, reflecting lost profits. (Compare Complaint, ¶¶ 83-85, 88 & 90-92, 96, with *ibid.* at ¶¶ 98-101.)

Consistent with Palm Springs, the Court thus determines that the Complaint’s first and second causes of action are duplicative of the Complaint’s third cause of action, for which reason the Court SUSTAINS Ahead Group’s demurrer to the FACC’s fraud claims, with leave to amend. (Code Civ. Proc., § 430.41, subd. (e)(1).)

ii. Demurrer,

Fourth Cause of Action, Business and Professions Claim

However, and for reasons largely not briefed by the parties, the Court OVERRULES Ahead Group’s demurrer to the FACC’s fourth cause of action.

To state a cause of action for unfair business practices, a plaintiff must establish defendant engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or

misleading advertising.” (Bus. & Prof. Code, § 17200.) A breach of contract in turn may form the predicate for a UCL claim, “provided it also constitutes conduct that is “unlawful, or unfair, or fraudulent.” [Citations.]” (Puentes v. Wells Fargo Home Mortgage, Inc. (2008) 160 Cal.App.4th 638, 645.) Unfair practices with the meaning of this claim “mean[] conduct that threatens an incipient violation of [a] law[] or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens or harms competition.” (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 187.)

Here, though the parties’ papers chiefly focus on whether the FACC sufficiently alleges unlawful practices via fraud, the Court is satisfied that the FACC’s third cause of action provides a sufficient basis to support a derivative UCL claim, as reflected in the fourth cause of action, where a threat to competition is alleged in the FACC. (See, e.g., FACC, ¶¶ 16 [Incite in good financial condition before entering agreement with Cheng], 18 [Incite needed agreement to move quickly as other conversations for funding were taking place and funding was needed in 30 days], 43 [Incite becomes distressed asset as result of Cross-Defendants’ conduct].)

d. Conclusion

Cross-Defendant Ahead Group LLC’s demurrer is therefore (1) SUSTAINED, with leave to amend, as to the FACC’s first and second causes of action, and (2) OVERRULED as to the FACC’s fourth cause of action.

Motion to Strike

Meet and Confer

The moving papers establish a sufficient meet and confer process preceded the filing of Defendant’s motion to strike. (See Demurrer, Fierro Decl., ¶¶ 5-8, Ex. B; see Code Civ. Proc., § 435.5, subd. (a)(3)(A).)

b. Legal Standard

The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading; or (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. § 436, subds. (a), (b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].)

For the purposes of a motion to strike pursuant to Sections 435 to 437 of the Code of Civil Procedure, the term “pleading” generally means a demurrer, answer, complaint, or cross-complaint, (Code Civ. Proc., § 435, subd. (a)), and an immaterial allegation or irrelevant matter in a pleading entails (1) an allegation that is not essential to the statement of a claim or defense, (2) an allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense, or (3) a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint (Code Civ. Proc., § 431.10, subds. (b)(1)-(3), (c)).

Discussion

After review, the Court finds in favor of Ahead Group.

Tort liability is a necessary predicate for punitive damages, where punitive damages may not be awarded as relief in a breach of contract claim. (Civ.Code, § 3294, subd. (a); *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 516; *Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 316.)

Here, having sustained Ahead Group's demurrer to the FACC's fraud claims, the only remaining viable claims alleged in the FACC against Ahead Group are the breach of contract claim and its derivative UCL claim, which cannot support punitive damages per the above authority.

d. Conclusion

Cross-Defendant Ahead Group LLC's motion to strike is accordingly GRANTED, with leave to amend.

Cross-Defendant Ahead Group LLC is
ordered to give notice.

Parties who intend to submit
on this tentative must send an email to the court at indicating intention to submit on the tentative
as directed by the instructions provided on the court website at www.lacourt.org. If
the department does not receive an email indicating the parties are submitting
on the tentative and there are no appearances at the hearing, the motion may be
placed off calendar. If a party
submits on the tentative, the party's email must include the case number and
must identify the party submitting on the tentative. If the parties do not submit on the
tentative, they should arrange to appear remotely.

DATED: September 3, 2026 _____

MARK C. KIM

Judge of the
Superior Court